Indian Institute of Management (IIM) graduate is intently processing the numbers. NSE IX-SGX GIFT Connect commenced in the morning with $8.05 billion (Rs 66,090 crore) open interest in Nifty futures and over $1.04 bn (Rs 8,540 crore) in Nifty options (futures and options are financial contracts used in the stock market); the first session ended with a turnover of $1.13 bn (Rs 9,280 crore). Later, chatting over a cup of black coffee, the Mumbai-based consultant repeats the statement that was frequently made on the stage that day—that the shifting of the Singapore Stock Exchange, or SGX Nifty, from the island city-state to the NSE International Exchange (NSE IX) in GIFT City will bring along a lot more opportunities for India's first and only International Financial Services Centre (IFSC). Tapan Ray, managing director, GIFT City, echoes the sentiment. "The extension of trading hours and exclusive trading of US dollar-denominated Nifty derivatives on NSE IX," he explains, "will attract discerning global investors for seamless access to global markets."



"GIFT IFSC IS GETTING GOOD TRACTION WITH VARIOUS DOMESTIC AND GLOBAL INSTITUTIONS, WHICH ARE MAKING IT THEIR BASE FOR INTERNATIONAL FINANCIAL SERVICES."

DIPESH SHAH, *executive director, International Financial Services Centres Authority, GIFT City*

WHAT'S SPECIAL ABOUT GIFT CITY?

A special economic zone (SEZ) conceived in 2007, GIFT City was notified as an IFSC in 2015 to attract entities operating in the domestic and global financial services sector that typically park their funds in offshore tax havens like Singapore, Hong Kong and Dubai. The past few months have seen several high-profile companies come calling. During Prime Minister Narendra Modi's visit to the US in June, Google CEO Sundar Pichai announced that the IT giant will set up its global financial technology, or fintech, hub in GIFT City, a dream project of the prime minister's from the days he was the chief minister of the state.

Several years in the works, it was only in 2020 that GIFT City took off, with the formation of the International Financial Services Centres Authority (IFSCA), a unified statutory body for the development and regulation of financial products, services and institutions within its precincts. Prior to this, any entity wanting to set up an office here had to seek separate permissions from myriad financial watchdogs—the Reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI), the Pension Fund Regulatory and Development Authority (PFRDA) and the Insurance Regulatory and Development Authority (IRDAI)—that regulated business in the IFSC.

"The setting up of the IFSCA brought clarity in regulations," says a fund manager who set up shop here a year ago. "It was the turning point after which financial institutions started looking at GIFT IFSC seriously. Earlier, it was a red tape-ridden process that few wanted to endure, when Dubai and Singapore offered much more ease."

Per Dipesh Shah, executive director of the IFSCA, GIFT IFSC is getting good traction with various domestic and international institutions, which are making it their base for international financial services. Most of the buildings are getting occupied; Morgan Stanley has recently received approvals to start operations. PM Modi is personally overseeing developments, speaking about it at international events and inviting corporates to move business here. Several international conferences under India's G20 presidency have also been hosted at GIFT City, including the high-profile gathering of finance ministers and central bank governors in mid-July.

Spread over 886 acres, GIFT City comprises a 261-acre multi-service IFSC & SEZ besides a 625-acre exclusive Domestic Tariff Area (DTA) meant for domestic companies and subject to Indian laws and regulations. The plan is to develop 62 million sq. feet of built-up area, of which 67 per cent would be commercial, 22 per cent residential and 11 per cent social space. Of the 41.54 mn sq. ft earmarked for commercial use, official data released by GIFT claims, 24 mn sq. ft, or 58 per cent, has already been "allotted", nearly half of it in just the past three years. At present, 4 mn sq. ft of built-up area is operational and 9 mn sq. ft is under construction.

Over 400 entities have leased space

PROJECT REPORT

GIFT City is India's first and only International Financial Services Centre (IFSC)

- First conceived in 2007, GIFT City in Gandhinagar was notified as a special economic zone (SEZ) in 2009 and as an IFSC in 2015
- IFSC is a free trade zone with various tax incentives enabling flow of finance, financial products and services across borders
- It caters to customers (non-residents and residents) outside the jurisdiction of the domestic economy, providing financial services in currencies other than the Indian Rupee
- It is the first step towards bringing financial services transactions currently carried out by foreign institutions or overseas branches of Indian institutions back to the Indian shores